Candlestick Patterns

from A to Z



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A Comprehensive Reference to Candlestick Patterns

About the Author:

Majed Alamri, a trader and technical analyst since 2001, holds a Master of Financial Technical Analysis (MFTA) and is a Certified Financial Technician (CFTe); in addition, he is a full member of the Society of Technical Analysts (MSTA) and holds a Doctorate of Philosophy (Ph.D.) in Education Administration and Planning.

About the Book:

This book is a comprehensive reference to candlestick patterns. It explains 156 patterns through more than 500 figures, including illustrations and charts. It also contains 341 names for the candlestick patterns arranged alphabetically. The most common names for the patterns are written in bold font, while the others are written in regular font, making it easy to find the patterns.

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Preface

The main idea of this book is an easily accessible collection of candlestick patterns in one reference source. In a thorough review of candlestick references, I did not find a single reference that included all candlestick patterns, so I found it useful to have a reference that explains all candlestick patterns. I collected these patterns and reviewed their conditions and details; in so doing, I reached 156 candlestick patterns, which I collected in this book.

Chapter five explains candlestick patterns in detail, chapter six is a summary of candlestick patterns, and chapter seven lists the different names of the patterns. In total there are 341 names, arranged alphabetically for easy access and search. The most common names for the patterns are listed in bold font, and the others are in regular font, making it easy to find the patterns.

The challenge in collecting candlestick patterns is the presence of some overlap and convergence in the conditions of some patterns, so I confirmed the conditions of the patterns in all the references I reviewed to ensure the validity of the conditions of the patterns in this book and explain them in more than 500 figures, including illustrations and charts. In some cases, important notes were added in the margin if the pattern has a special case or there were similarities between some patterns to clarify the difference.

Given that I did not add any patterns of my own but only completed the pictures of some patterns as I found them in some references as a bullish pattern without the bearish pattern or vice versa, because it is one of the basics of technical analysis that every case that can appear at the peaks can also appear at the troughs but in reverse, like a mirror image, with some difference in price behavior between peaks and troughs. All 156 patterns are found scattered throughout the candlestick references in the bibliography; in addition, I reviewed several websites specializing in candlestick patterns to complete the list of patterns and collect their different names, so this book can be considered a collection and completion of the efforts made previously in this field.

Finally, I would be happy to receive any suggestions, comments, or additions that contribute to the development of this book via email: majed.f.alamri@gmail.com or https://linktr.ee/majedalamri.

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Chapter 1: Construction of the Candlestick Chart

Each candlestick chart requires four prices to be drawn: open, close, high, and low. The shape and importance of the candle differ depending on the location of these prices relative to each other, which causes the difference in the meanings of candles and forms their different patterns in terms of positivity and negativity, strength and weakness.

This price data can be for any interval, whether intraday (one minute, five minutes, thirty minutes, an hour, or another interval) or daily, weekly, monthly, or even quarterly or annually. What is important is the availability of these four prices to build the candlestick charts, as shown in Figure 1.1.

Figure 1.1:

4110
BATIC

Candlestick
Chart



Chapter 3:
Calculating the Target Levels of the Candlestick Patterns[1]

Calculating the target levels of candlestick patterns depends on two basic factors. The first is calculating the maximum height of the pattern, which reflects the amount of price volatility. The larger the height, the larger the volatility when the expected target level is farther. Conversely, the lower the height, the lower the volatility when the expected target level is closer. The second is the number of candles closed between the upper and lower filter levels, including the candles of the candlestick pattern, where the number of candles—in this case—represents the time factor; the larger the number of candles, the longer the time when the expected target level is farther. Conversely, the fewer the candles, the shorter the time; whenever the expected target level is closer.

The following is a detailed explanation of the method of calculating the target levels of candlestick patterns in the case of closing above the upper filter and closing below the lower filter:

Closing above the upper filter:

This closing is considered confirmation of the bullish candlestick patterns (or failure of the bearish candlestick patterns), and the target levels are calculated by determining:

- The level of the upper filter of the candlestick pattern (F1).
- The level of the lower filter of the candlesticks pattern (F2).
- The number of candles (N) closed between the upper filter level (F1) and the lower filter level (F2), including the candles of the candlestick pattern (Figure 3.1).

[1] This method was presented in a thesis of Master of Financial Technical Analysis (MFTA) submitted to the International Federation of Technical Analysts (IFTA) in 2015 entitled: THE CALCULATION OF THE TARGET LEVELS OF JAPANESE CANDLESTICKS PATTERNS BY USING PATTERNS CONFIRMATION FILTERS, and an extracted paper from the thesis was published in the 2017 issue of *IFTA Journal*.

Chapter 5:
Candlestick Patterns from A to Z

This chapter lists and explains the 156 candlestick patterns alphabetically. Note that the most common names for the patterns are written in bold, and the others are in regular font. The total number of names, both common and otherwise, for the patterns is 341.

Candlestick patterns are explained via the following eleven points: (1) the most common name of the pattern, and, if the pattern has both a bullish and bearish case, "Bullish" or "Bearish" is added after the pattern name; (2) the number of candles in the pattern; (3) type: either a continuation or reversal pattern; (4) the family of the pattern (based on the real body and the shadow of the candle or the real body and the shadow of the blended candle); (5) the tendency: whether bullish or bearish; (6) a description of its conditions and details; with an ideal illustration (7) blending probability; with an ideal illustration (8) pattern strength (strong, medium, or weak), based on the overall shape of the pattern or the overall shape of the blended candle; (9) confirmation, whether required or preferred, with a chart of the pattern on the price action (if a suitable case exists); (10) the other names of the pattern, if any; and (11) the name of the pattern that represents the opposite case.

For patterns that consist of two or more candles, the pattern blending probability is added along with the ideal illustration of the blended candle. Note that the blended candle is formed through the following steps: 1- the opening price of the first candle of the pattern, 2- the closing price of the last candle, and 3- the highest and lowest prices recorded in the pattern.

Candlestick patterns need a previous upward or downward trend to give correct and strong signals. They are at their weakest when they appear during sideways movements, especially when these movements are in a narrow range.

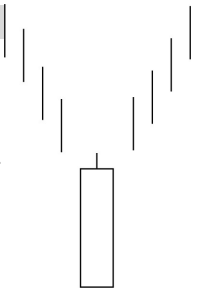
Remember that candlestick patterns are part of technical analysis. To get the strongest signals, it is important to combine them with other technical analysis tools, such as the basic tools: support and resistance, trendlines and trend channels, and chart patterns. This will confirm the signals of candlestick patterns and increase their strength.

Belt Hold Candle (White):

- Number of candles: One.
- Type: Reversal.
- Tendency: Bullish, appears after a downtrend.
- Family: Long candles.
- Description: The real body of the white belt hold candle appears at least twice as long as the real bodies of the previous candles, and this candle has only an upper shadow, where the opening price equals the lowest price, and the closing price is near the highest price but not equal to it[1] (Figure 5.27).

Figure 5.27:

Illustration of Belt Hold Candle (White).

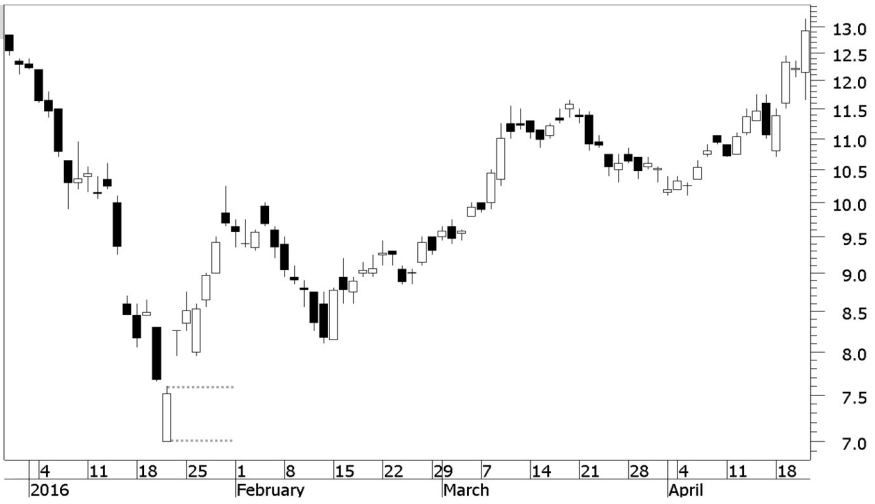


- Blending: Single candle, so there is no blended candle.
- Pattern strength (theoretically): Strong bullish reversal pattern because the long white body signals that the buyers have outperformed the sellers.
- Confirmation: Required; the pattern is confirmed after closing above the highest price of the candle (Figure 5.28).
- Opposite pattern: Belt Hold Candle (Black).

Figure 5.28:

2380 PETRO RABIGH

Belt Hold Candle (White)



[1] This candle is the same as the Opening White Marubozu Candle, but it is called a White Belt Hold Candle only if it appears after a downtrend as a reversal candle.

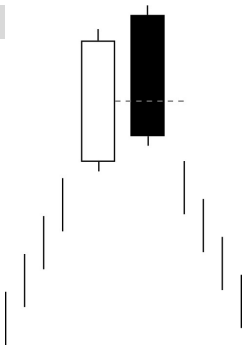
D

Dark Cloud Cover Pattern:

- Number of candles: Two.
- Type: Reversal.
- Family: Long shadow candles (blended candle).
- Tendency: Bearish, appears after an uptrend.
- Description: This pattern consists of two opposite candles; the first is white, and the second is a black candle that opens above the highest price of the white candle and closes in the lower half of the trading range of the first candle's body. Note that the closer the second candle's closing price is to the first candle's opening price, the stronger the pattern (Figure 5.58).

Figure 5.58:

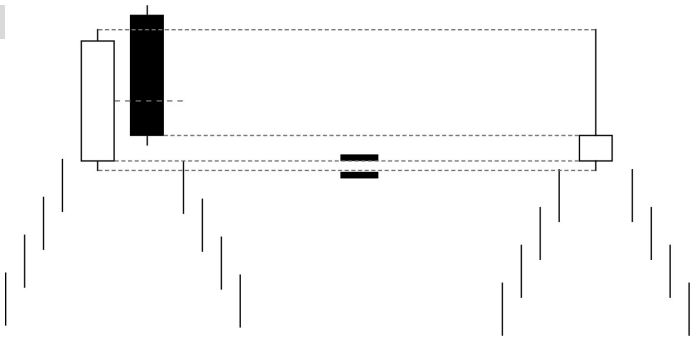
Illustration of Dark Cloud Cover Pattern.



- Blending: In the ideal case, the blended candle that appears after an uptrend has a small white body with a long upper shadow, such as the Shooting Star Candle, Inverted Takuri Candle (Bearish), and other bearish inverted umbrella lines (Figure 5.59).

Figure 5.59:

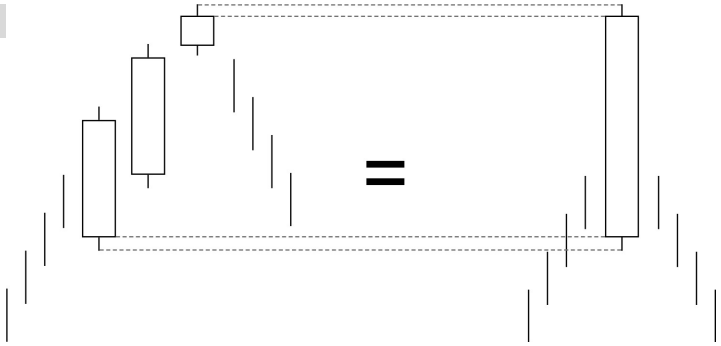
Blending of Dark Cloud Cover Pattern.



- Pattern strength (theoretically): Strong bearish reversal pattern because the blended candle's long upper shadow signals that the sellers have outperformed the buyers.
- Confirmation: Required; the pattern is confirmed after closing below the lowest price of the pattern (Figure 5.60).
- Opposite pattern: Piercing Line Pattern.

Figure 5.62:

Blending of Deliberation Pattern (Bearish).



- Confirmation: Required; the pattern is confirmed after closing below the lowest price of the pattern (Figures 5.63 & 5.64).
- Other names: White Three-Line Star in Deliberation Pattern, Stalled Pattern.
- Opposite pattern: Deliberation Pattern (Bullish).

Figure 5.63:

3002 NAJRAN CEMENT

Deliberation Pattern (Bearish)

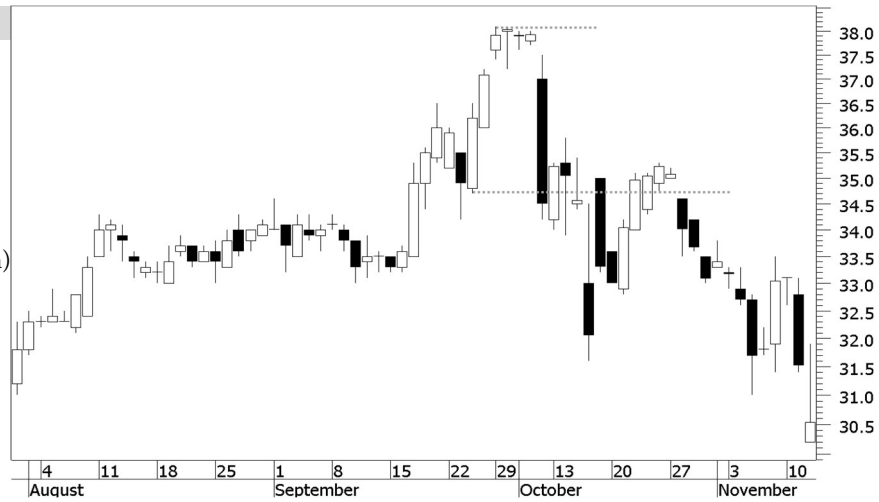


Figure 5.64:

4130 ALBAHA

Deliberation Pattern (Bearish)

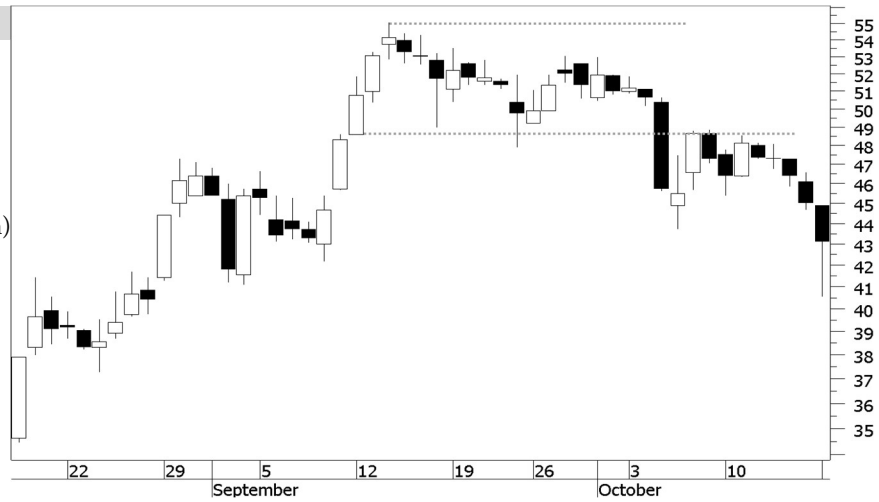
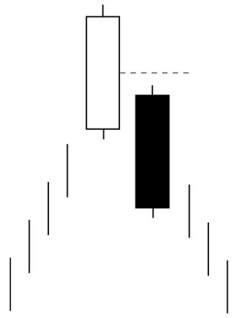


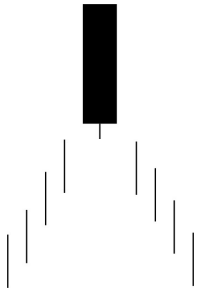
Figure 6.7:



Below the Stomach Pattern: p. 38

- Candles: Two.
- Type: Reversal.
- Family: Long candles or long shadow candles.
- Tendency: Bearish, appears after an uptrend.
- Blending: Small black body with a long upper shadow, or black candle.
- Strength: Strong.
- Confirmation: Required.
- Names: Stomach Below Pattern.
- Opposite: Above the Stomach Pattern.

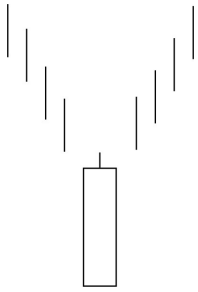
Figure 6.8:



Belt Hold Candle (Black): p. 40

- Candles: One.
- Type: Reversal.
- Family: Long candles.
- Tendency: Bearish, appears after an uptrend.
- Blending: None.
- Strength: Strong.
- Confirmation: Required.
- Names: None.
- Opposite: Belt Hold Candle (White).

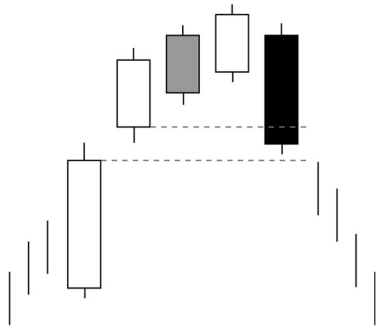
Figure 6.9:



Belt Hold Candle (White): p. 41

- Candles: One.
- Type: Reversal.
- Tendency: Bullish, appears after a downtrend.
- Family: Long candles.
- Blending: None.
- Strength: Strong.
- Confirmation: Required.
- Names: None.
- Opposite: Belt Hold Candle (Black).

Figure 6.10:



Breakaway Pattern (Bearish): p. 42

- Candles: Five.
- Type: Reversal.
- Family: Long candles or long shadow candles.
- Tendency: Bearish, appears after an uptrend.
- Blending: White candle, or small white candle with a long upper shadow.
- Strength: Weak or strong (based on the blended candle).
- Confirmation: Required.
- Names: Bearish Breakaway, Breakaway Three New Price Top.
- Opposite: Breakaway Pattern (Bullish).

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